

HSBC Holdings plc (0005)

Model Update

We are fine-tuning our model before the 1Q26 results with limited changes to 2026-28E EPS, driven by changes to share price assumptions for buybacks. With uncertainty in the Middle East still high, we continue to expect resumption of share buybacks with the 2Q results. There is no change to our PT, and we maintain OW rating.

Overweight

0005.HK, 5 HK

Price (14 Apr 26): HK\$141.00

Price Target (Dec-26): HK\$180.00

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Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)	2025A	2026E	2027E
Q1			
Q2			
Q3			
Q4			
FY	1.55	1.68	1.81

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	51	53	51	58	71
Growth	43	61	41	62	89
Momentum	13	49	22	9	30
Quality	25	41	19	70	78
Low Vol	18	10	3	25	27

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 5 for analyst certification and important disclosures, including non-US analyst disclosures.

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Price Performance



— 0005.HK Price (HK\$)— HSI (rebased)

	YTD	1m	3m	12m
Abs	15.2%	15.1%	11.0%	79.6%
Rel	14.3%	13.5%	15.2%	58.8%

Company Data

Shares O/S (mn)	17,430
52-week range (HK\$)	148.00-77.10
Market cap (\$ mn)	313,846
Exchange rate	7.83
Free float (%)	99.9%
3M ADV (mn)	18.59
3M ADV (\$ mn)	314.9
Volatility (90 Day)	34
Index	HSI
BBG ANR (Buy Hold Sell)	6 15 8

Key Metrics (FYE Dec)

\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Net interest income	34,794	37,734	38,925	40,234
Non interest income	36,226	35,747	37,139	38,994
Operating expenses	(33,464)	(34,227)	(35,217)	(36,456)
Adj. PPOP	37,556	39,255	40,847	42,773
Provision for loan losses	(3,850)	(4,294)	(4,225)	(4,361)
Adj. PBT	36,617	37,843	39,476	41,237
Adj. net income	27,265	28,787	30,231	31,574
Adj. EPS	1.55	1.68	1.81	1.97
BBG EPS	-	-	-	-
DPS	0.75	0.82	0.90	0.98
Loans	988,399	1,016,811	1,047,824	1,088,515
Deposits	1,786,828	1,866,194	1,941,300	2,019,784
Total Assets	3,233,034	3,297,695	3,363,649	3,430,922
Margins and Growth				
NIM	1.6%	1.7%	1.7%	1.6%
Ratios				
Loan/ Deposit ratio	55.3%	54.5%	54.0%	53.9%
NPL / Loans	2.3%	2.2%	2.2%	2.2%
Coverage	47.3%	47.3%	28.3%	29.1%
CET 1	14.9%	14.3%	14.3%	14.3%
Non-int. income/ Income	51.0%	48.6%	48.8%	49.2%
Cost/Income	47.1%	46.6%	46.3%	46.0%
LLP/Loans	(0.4%)	(0.4%)	(0.4%)	(0.4%)
ROA	0.9%	0.9%	0.9%	0.9%
ROE	15.9%	16.0%	16.5%	16.8%
Valuation				
Dividend yield	4.2%	4.6%	5.0%	5.4%
Adj. P/E	11.6	10.7	10.0	9.2
P/ BV	1.7	1.7	1.6	1.5

Summary Investment Thesis and Valuation

HSBC's self-help programs in the past decade have lifted normalized and through-the-cycle RoTE from 8% to 17%. This means that the adjusted dividend yield (including share buybacks [SBB]) will stay at ~8% after the rate cycle, on our estimates. Despite a three-quarter suspension in buybacks due to HSB privatization, we estimate HSBC's 2026-28 total shareholder return yield at 8-10% each year, the highest within our bank sector coverage in the Greater China region. We see declines in revenue in the medium term as a result of business disposals as well as rate cuts and loan growth also under pressure, but fee income will likely provide some support, given strong momentum in Transaction Banking and Wealth. The group's restructuring plan could benefit on the cost side, depending on scale. We expect 2026/27/28 RoTE (excluding notable items) to be 17.4%/17.8%/18.1%, broadly in line with HSBC's above-17% guidance. We rate HSBC Overweight.

Our Dec-26 PT of HK\$180 is based on our DDM analysis, with NAV discounted back to Dec-26 from 2028E and a fair P/B of 2.0x. Our key assumptions are a normalized ROE of 15.6%, a long-term growth rate of 2.4% and a cost of capital of 9.1%.

Performance Drivers

Market	47%
Region	7%
Macro	16%
Style	0%
Idiosyn.	30%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.62	0.71
Region: Hong Kong	0.51	0.40
Macro:		
HSI Volatility Index	-0.37	-0.43
JPM Global Equity Sentiment	0.26	0.31
JPM China A-shares Sentiment	-0.06	-0.23
Quant Styles:		
Value	-0.01	0.12
LowVol	0.05	0.11
Size	-0.02	-0.11

Investment Thesis, Valuation and Risks

HSBC Holdings plc (Overweight; Price Target: HK\$180.00)

Investment Thesis

HSBC's self-help programs in the past decade have lifted normalized and through-the-cycle RoTE from 8% to 17%. This means that the adjusted dividend yield (including share buybacks [SBB]) will stay at ~8% after the rate cycle, on our estimates. Despite a three-quarter suspension in buybacks due to HSB privatization, we estimate HSBC's 2026-28 total shareholder return yield at 8-10% each year, the highest within our bank sector coverage in the Greater China region. We see declines in revenue in the medium term as a result of business disposals as well as rate cuts and loan growth also under pressure, but fee income will likely provide some support, given strong momentum in Transaction Banking and Wealth. The group's restructuring plan could benefit on the cost side, depending on scale. We expect 2026/27/28 RoTE (excluding notable items) to be 17.4%/17.8%/18.1%, broadly in line with HSBC's above-17% guidance. We rate HSBC Overweight.

Valuation

Our Dec-26 PT of HK\$180 is based on our DDM analysis, with NAV discounted back to Dec-26 from 2028E and a fair P/B of 2.0x. Our key assumptions are a normalized ROE of 15.8%, a long-term growth rate of 2.4% and a cost of capital of 9.1%.

Risks to Rating and Price Target

Key downside risks include:

- 1) **Macroeconomic risks:** HSBC is exposed to GDP growth in Hong Kong SAR, Mainland China and the UK, as well as FX and cross-border/political risks, which could pose downside risks. Similarly, the global interest rate and inflation outlook could impact group margins, which may differ from our expectations.
- 2) **EM outlook:** We expect the asset quality outlook to deteriorate and forecast CoR growth above normalized levels in the medium term – although we see both upside and downside risks to this. This includes specific areas such as China CRE, where the group has a large unsecured exposure, and Hong Kong CRE, where the portfolio has seen sharp deterioration.
- 3) **Regulatory risks:** Regulatory risks include Basel 4, performance in BoE stress tests/*Comprehensive Capital Analysis and Review* (CCAR) and changes in capital regime.

HSBC Holdings plc (0005): Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E	Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Interest income	32,970	34,794	37,734	38,925	40,234	Cash and cash equivalents	664,555	693,776	693,776	693,776	693,776
Interest expense	-	-	-	-	-	Deposits with banks	-	-	-	-	-
Net interest income	32,970	34,794	37,734	38,925	40,234	Net loans	930,658	988,399	1,016,811	1,047,824	1,088,515
Non interest income	34,464	36,226	35,747	37,139	38,994	PP&E	0	0	0	0	0
o/w Fee income	-	-	-	-	-	Net intangibles	12,384	13,107	13,238	13,370	13,504
o/w Trading income	(4,869)	(5,368)	(5,797)	(6,087)	(6,453)	LT investments	-	-	-	-	-
Net revenues	67,434	71,020	73,482	76,064	79,229	Other assets	1,409,451	1,537,752	1,573,870	1,608,679	1,635,126
Non interest expense	(32,810)	(33,464)	(34,227)	(35,217)	(36,456)	Total assets	3,017,048	3,233,034	3,297,695	3,363,649	3,430,922
o/w Employee costs	-	-	-	-	-	Interest earning assets	-	-	-	-	-
Pre-Prov. Profits	34,624	37,556	39,255	40,847	42,773	Deposits	1,654,955	1,786,828	1,866,194	1,941,300	2,019,784
Provisions	(3,414)	(3,850)	(4,294)	(4,225)	(4,361)	Borrowings	248,033	248,033	248,033	248,033	248,033
Adj. PBT	34,122	36,617	37,843	39,476	41,237	Other liabilities	921,787	992,507	980,918	941,772	925,336
Income taxes	(7,310)	(6,776)	(7,229)	(7,875)	(8,207)	Total liabilities	2,824,775	3,027,368	3,095,145	3,157,063	3,219,112
Minority interest	(1,020)	(846)	(246)	(46)	(46)	Shareholder equity	165,903	177,509	181,392	185,429	190,653
Adj. Net profit	25,216	27,265	28,787	30,231	31,574	Minority interests	26,370	28,157	21,157	21,157	21,157
PPOP per share	1.89	2.16	2.31	2.46	2.68	Total liabilities and Shareholder equity	3,017,048	3,233,034	3,297,695	3,363,649	3,430,922
Reported EPS	1.24	1.20	1.60	1.80	1.96	Interest bearing liabilities	-	-	-	-	-
Adj. EPS	1.36	1.55	1.68	1.81	1.97	Book Value Per Share	9.26	10.36	10.73	11.40	12.20
DPS	0.87	0.75	0.82	0.90	0.98	Tangible Book Value Per Share	10.32	11.56	11.96	10.57	11.34
Diluted shares outstanding	18,485	17,547	17,143	16,708	16,068	Asset Quality/Capital	FY24A	FY25A	FY26E	FY27E	FY28E
Balance Sheet Gearing	FY24A	FY25A	FY26E	FY27E	FY28E	Loan loss reserves/Loans	(1.0%)	(1.1%)	(1.1%)	(0.6%)	(0.6%)
Loans/Deposits	56.2%	55.3%	54.5%	54.0%	53.9%	- NPLs/Loans	2.4%	2.3%	2.2%	2.2%	2.2%
Investment/Assets	-	-	-	-	-	Loan loss reserves/NPLs	49.6%	45.1%	47.3%	37.7%	28.7%
Loan/Assets	31.3%	30.0%	30.7%	31.0%	31.5%	NPL y/y growth	17.3%	0.0%	2.0%	2.0%	2.0%
Customer deposits/Liabilities	58.6%	59.0%	60.3%	61.5%	62.7%	Tier 1 ratio	17.2%	17.1%	16.4%	16.4%	16.3%
LT debt/Liabilities	4.4%	4.5%	4.3%	4.2%	4.1%	CAR	-	-	-	-	-
Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis (%)	FY24A	FY25A	FY26E	FY27E	FY28E
Net interest margin	1.6%	1.6%	1.7%	1.7%	1.6%	Return on equity (ROE)	15.1%	15.9%	16.0%	16.5%	16.8%
Non interest income/Net revenue	51.1%	51.0%	48.6%	48.8%	49.2%	Return on assets (ROA)	0.8%	0.9%	0.9%	0.9%	0.9%
Non interest income/Avg. Assets	1.1%	1.2%	1.1%	1.1%	1.1%	Operating ROA	1.0%	1.1%	1.1%	1.1%	1.1%
Efficiency ratio	48.7%	47.1%	46.6%	46.3%	46.0%	Pre-Tax ROA	1.1%	1.0%	1.1%	1.2%	1.2%
Leverage ratio	4.8%	4.9%	4.5%	4.6%	4.6%	Pre-Provision ROA	1.1%	1.2%	1.2%	1.2%	1.3%
Revenue/Assets	2.2%	2.3%	2.3%	2.3%	2.3%	Tax rate	22.6%	22.7%	20.0%	20.0%	20.0%
RORWA	3.0%	3.2%	3.2%	3.3%	3.4%	Net loans y/y growth	(0.8%)	6.2%	2.9%	3.0%	3.9%
RWA	838,254	888,647	904,448	924,175	953,452	Assets y/y growth	(0.7%)	7.2%	2.0%	2.0%	2.0%
Avg. RWA	846,184	863,451	896,548	914,312	938,813	RWA y/y growth	(1.9%)	6.0%	1.8%	2.2%	3.2%
Avg. IEA	2,099,285	2,190,078	2,270,017	2,353,429	2,447,086	Deposits y/y growth	2.7%	8.0%	4.4%	4.0%	4.0%
Gross Loans	940,373	999,091	1,027,717	1,058,947	1,099,862	Net interest income y/y growth	(9.9%)	5.5%	8.5%	3.2%	3.4%
Avg. IBL	-	-	-	-	-	Revenues y/y growth	2.6%	5.3%	3.5%	3.5%	4.2%
LLR	(9,715)	(10,692)	(10,906)	(6,659)	(6,992)	Adj. EPS y/y growth	9.4%	13.9%	8.1%	7.7%	8.6%
NPLs	22,615	22,615	23,067	23,529	23,999	BVPS y/y growth	5.0%	11.9%	3.6%	6.2%	7.1%
P/BV (x)	1.9	1.7	1.7	1.6	1.5	IE assets/Assets	69.6%	67.7%	68.8%	70.0%	71.3%
Adj. P/E (x)	13.2	11.6	10.7	10.0	9.2	Margins (as % of Avg. Assets)	-	-	-	-	-
Dividend yield	4.8%	4.2%	4.6%	5.0%	5.4%	LLP/Loans	(0.4%)	(0.4%)	(0.4%)	(0.4%)	(0.4%)
Dividend payout	70.2%	62.4%	51.3%	49.9%	50.1%	Equity/Assets	-	-	-	-	-
						Cost/Assets	1.1%	1.1%	1.0%	1.1%	1.1%
						Assets/Equity	18.2	18.2	18.2	18.2	18.1

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec

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HSBC Holdings plc (0005) (0005.HK, 5 HK) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Dec 31, 2000. All share prices are as of market close on the previous business day.

Date	Rating	Price (HK\$)	Price Target (HK\$)
18-Apr-23	N	56.90	61
07-Jul-23	N	61.00	66
07-Aug-23	OW	63.85	80
16-Oct-23	OW	62.50	81
31-Oct-23	OW	57.20	83
17-Jan-24	OW	59.10	81
22-Feb-24	OW	60.25	74
10-Apr-24	OW	63.90	78
02-May-24	OW	67.00	83
06-Aug-24	OW	62.05	86
19-Nov-24	OW	70.55	90
17-Feb-25	OW	84.50	95
20-Feb-25	OW	88.40	108
20-Mar-25	OW	89.75	115
05-May-25	OW	86.20	108
22-Jul-25	OW	98.45	118
01-Aug-25	OW	96.15	122
30-Oct-25	OW	106.50	132
02-Dec-25	OW	110.50	138
05-Feb-26	OW	139.00	165
18-Mar-26	OW	124.80	180

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